

Case Analysis – Avoiding Misleading Proportions

Question 1: Truncated Y-Axis in Sales Growth

1. Why is the chart misleading?

The Y-axis starts at **90 instead of 0**. Therefore, the small difference between January sales (₹95 lakhs) and June sales (₹105 lakhs) is visually exaggerated. The actual increase is only:

$$\left[\frac{105-95}{95} \times 100 = 10.53\% \right]$$

However, the truncated axis makes the bars look as if June sales are almost twice January sales.

2. Visualization principle violated

The chart violates the **zero-baseline principle for bar charts**. Bar lengths should normally start from zero when representing quantities.

3. Improved visualization method

Use a **bar chart with the Y-axis starting at 0**. Alternatively, a **line chart** can be used because the purpose is to show monthly sales trends.

4. Effect on business decisions

The misleading chart may make management believe that sales have grown dramatically. This could lead to:

- Excessive inventory or production.
- Unnecessary expansion plans.
- Overestimating marketing campaign success.
- Incorrect sales forecasts and budgets.

Question 2: Pie Chart with Incorrect Proportions

Total students:

$$\left[420+280+200+100=1000 \right]$$

1. Correct percentages

Department	Students	Correct Percentage
Computer Science	420	42%
Electronics	280	28%
Mechanical	200	20%
Civil	100	10%
Total	1000	100%

2. Why is the displayed chart misleading?

The displayed slices are approximately **50%, 30%, 15%, and 15%**, which do not match the actual enrollment proportions of **42%, 28%, 20%, and 10%**.

In particular, Civil is shown as 15% instead of 10%, while Computer Science is shown as 50% instead of 42%. This gives viewers an incorrect understanding of student distribution.

3. Alternative visualization

A **bar chart** would be better because the enrollment numbers can be compared directly using bar lengths.

4. Effect on institutional planning

Incorrect proportions could lead to:

- Allocating too many classrooms to some departments.
- Hiring the wrong number of faculty.
- Misallocating laboratory resources.
- Incorrect budgeting.
- Poor planning for infrastructure and student services.

Question 3: Unequal Bar Widths in Revenue Comparison

1. Identify the graphical error

The error is the use of **unequal bar widths** for categorical data. Bar width should remain constant when comparing different products.

2. How do unequal widths distort perception?

Viewers perceive the **area** of a bar, not just its height. Increasing both the height and width makes later bars appear much larger than their actual values.

Actual revenue ratio:

$$\left[\frac{105}{60} = 1.75 \right]$$

So Product D has **1.75 times** the revenue of Product A, not nearly three times as much.

3. Correct visualization design

Use:

- Equal-width bars.
- Equal spacing between bars.
- A Y-axis starting at zero.
- Revenue represented only by bar height.
- Clear labels and units: ₹ **Crores**.

A simple **2D bar chart** is appropriate.

4. Consequences for investors

Investors may incorrectly believe that Product D is substantially more profitable or successful than Product A. This could influence:

- Investment decisions.
- Company valuation.
- Product funding.
- Portfolio allocation.
- Perception of company performance.

Question 4: 3D Column Chart Distortion

1. Why can 3D charts be misleading?

3D charts introduce **perspective, depth, and viewing-angle effects**. These can make bars in the foreground or certain positions appear larger than they actually are.

The chart therefore adds visual effects that do not represent additional data.

2. Perceived difference vs actual difference

Wind:

[
500\text{ GWh}
]

Hydro:

[
550\text{ GWh}
]

Actual difference:

[
 $550 - 500 = 50 \text{ GWh}$
]

Percentage difference relative to Wind:

[
 $\frac{50}{500} \times 100 = 10\%$
]

So Hydro generates only **10% more energy than Wind**. If the chart makes Hydro appear 40% larger, the visual impression is significantly exaggerated.

3. Better visualization

Use a **simple 2D column/bar chart** with:

- Equal-width bars.
- A zero baseline.
- No 3D perspective.
- Clear numerical labels.
- Consistent scale.

4. Importance in sustainability reporting

Sustainability reports must communicate environmental performance accurately.

Visual distortion can cause stakeholders to:

- Misjudge renewable energy performance.
- Make incorrect investment decisions.

- Set inappropriate sustainability targets.
- Lose trust in the organization's reporting.

Accurate visualization is therefore important for **transparency, accountability, and informed decision-making**.

Question 5: Bubble Chart with Incorrect Scaling

1. Why is scaling radius misleading?

A circle's visual size is determined by its **area**, not simply its radius.

Circle area is:

$$[\\ A = \pi r^2 \\]$$

If the radius is directly proportional to the number of cases, then the area grows with the **square of the number of cases**.

For example:

$$[\\ \frac{550}{150} = 3.67 \\]$$

District E has only about **3.67 times** as many cases as District A. But if radius is scaled directly to cases, its area becomes:

$$[\\ (3.67)^2 \approx 13.44 \\]$$

Thus, District E can appear over **13 times larger in area**, even though it has only 3.67 times the cases.

2. Correct method for proportional bubble sizing

The **area** of the bubble should be proportional to the number of cases.

Since:

$$[\\ A = \pi r^2 \\]$$

the radius should be proportional to:

[

$$\sqrt{\text{number of cases}}$$

]

This ensures that the visual area accurately represents the data.

3. Alternative visualization

A **bar chart** would be more suitable for comparing disease cases across five districts because the differences can be compared easily and accurately.

4. Impact on public health resource allocation

The misleading chart could make District E appear to have a much more severe disease problem than it actually does. Authorities might therefore:

- Allocate excessive medical resources to District E.
- Under-allocate resources to other districts.
- Misallocate healthcare workers and medicines.
- Create inaccurate disease-control priorities.

Summary

Question Main Visualization Problem		Better Approach
1	Truncated Y-axis exaggerates differences	Zero-based bar chart / line chart
2	Incorrect pie-slice proportions	Correct pie chart / bar chart
3	Unequal bar widths exaggerate area	Equal-width 2D bars
4	3D perspective distorts size	Simple 2D bar/column chart
5	Bubble radius incorrectly scaled	Area proportional to value / bar chart

Key principle: A good visualization should make the **visual size of a data element proportional to the actual data value** and should avoid unnecessary visual effects that exaggerate or hide differences.